

Tata Consultancy Services Ltd

TCS · Information Technology

ROE

50.9%

ROCE

60.2%

Net Profit Margin

19.1%

Debt-to-Equity

0.09

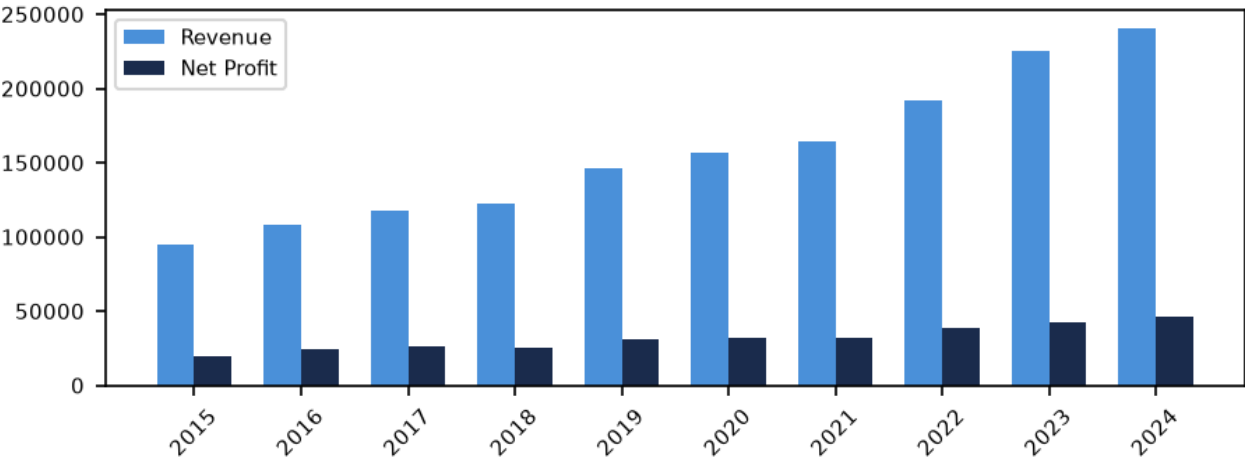
Revenue CAGR (5yr)

10.5%

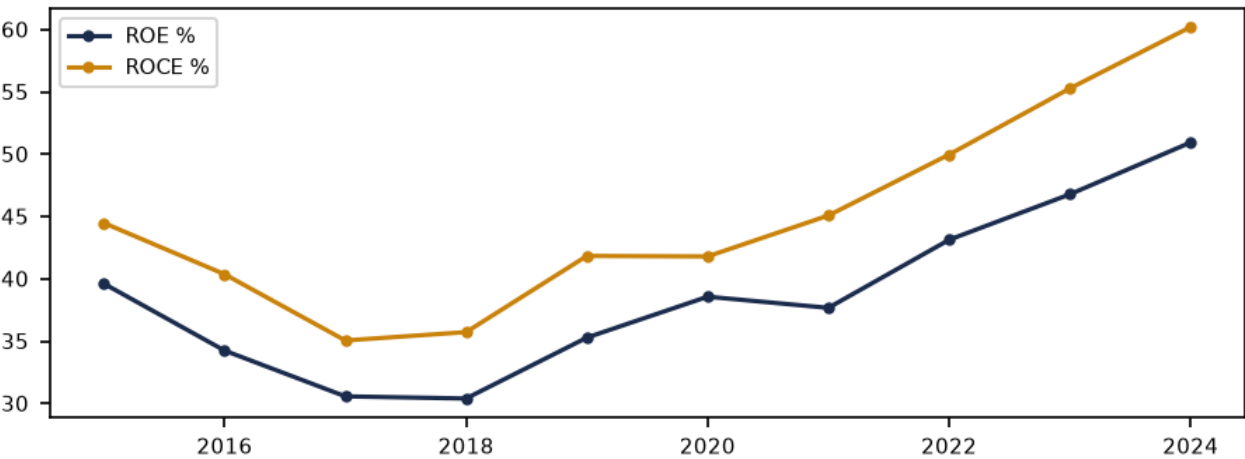
Free Cash Flow

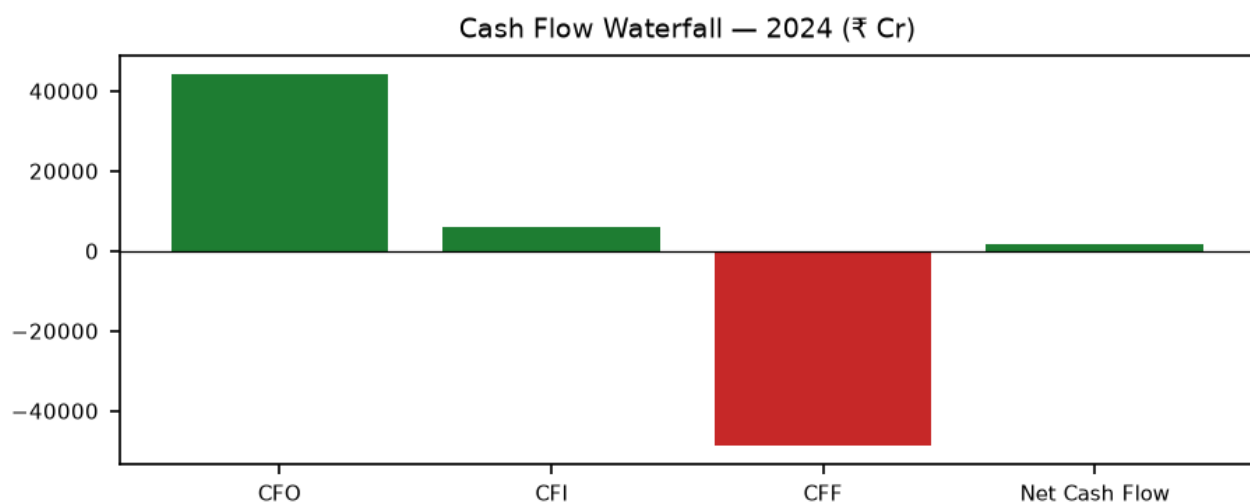
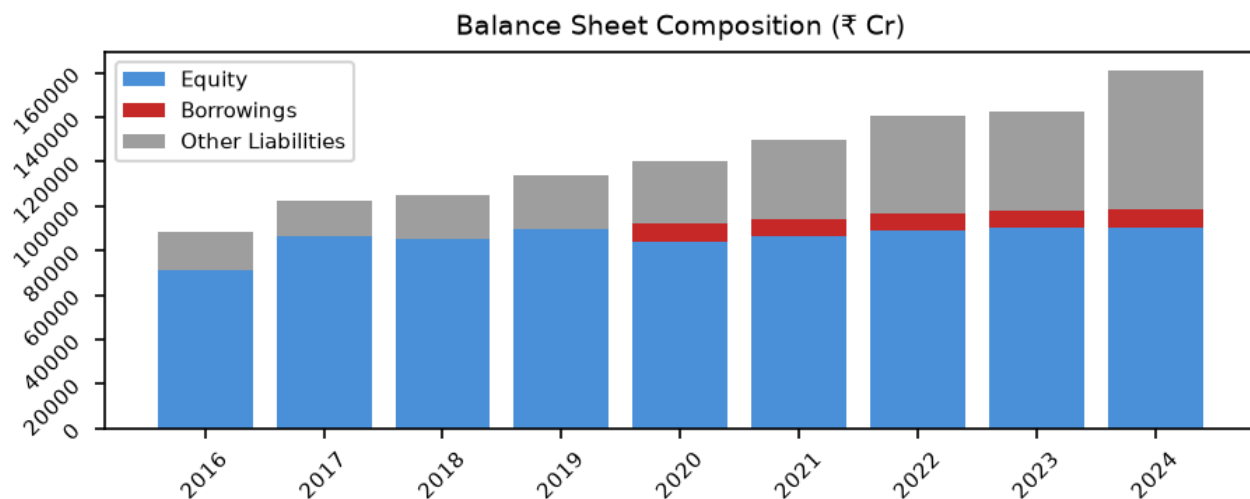
■50,429 Cr

Revenue vs Net Profit (₹ Cr)



ROE vs ROCE Trend (%)





Pros

- ✓ Strong free cash flow generation over 5 years signals healthy business fundamentals
- ✓ Return on equity improving for 3 consecutive years shows strengthening business quality
- ✓ Consistently high return on equity above 20% demonstrates exceptional capital efficiency
- ✓ Very high interest coverage ratio reflects negligible financial stress from debt servicing
- ✓ Operating profit margin above 25% indicates strong pricing power and cost discipline

Cons

- ✗ Debt-to-equity ratio of 0.09 is a factor worth monitoring given the company's capital structure

Capital Allocation: Shareholder Returns